

**BAKER
HUGHES**

Rpt Date 05/Jan/2007			Well Name/No Bilabri D4			Section Name/No 12-1/4" Section #3			Mud System SYN-TEQ (PARA)												
Job# 1		Spud Date 09/Nov/2006			MD 2591.00 m			Progress 0.00 m		Present Activity Stuck Pipe											
Operator Peak Petroleum Indust. Limited			Company Rep Tom G.May / Peter Vermeulen			Contractor Dolphin Drilling Ltd			Contractor Rep Steve Milne / Terry Nanidis												
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria				Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN											
Drilling Assembly						Casing		Volumes	Pump Information												
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model		Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min				
12 1/4		HCC		PDC			19 1/2	172.50	Total Hole	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0					
Drill Collars			Drill Pipe			20	18 3/4	291.60	1376.1	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0					
OD in	ID in	Length m	OD in	ID in	Length m	13 3/8	12.415	800.00	Active Pits	Continental Ensco FA-1600		6 1/2	12.00	97.0	0.1194	0					
8	3 1/4	6.57	5	4.276	2348.34		12 1/4	2591.00	464												
8	2 5/8	9.35	5	3	158.56				Tot Active												
8	2 3/4	27.29							1840.1	Circulation Times											
8	2 13/16	9.05							In Storage	Surface to Bit		min/stks		Total System		min/stks					
									782	Bottoms Up		min/stks									
Mud Properties						Max Ann Velocity			Hole Information												
Property			Fluid Spec		1	2	3	AV Riser		ft/min		Standpipe Pressure		0 psi		Water Depth			146.00 m		
Sample From					Active Pit		Active Pit		AV Casing		ft/min		Hole Flow		USgal/min		Riser Booster Rate			USgal/min	
Check Time					23:30		23:30		AV Open Hole		ft/min		Solids Analysis								
MD m					2591.00		2591.00		Vc Open Hole		ft/min		Property		1	2	3	4			
TVD m					2449.98		2449.98		Vc Drill Pipe		ft/min		LGS %		5.52		5.67				
Bit Depth m					2588.00		2588.00		Min Ann Velocity			LGS lb/bbl		50.34		51.71					
Inc deg					1.46		1.46		AV Riser		ft/min		HGS %		4.34		4.11				
Density ppg					9.30		9.30		AV Casing		ft/min		HGS lb/bbl		63.86		60.44				
Funnel Visc. sec/quart					83.0		89.0		AV Open Hole		ft/min		Avg Dens Sol sg		3.3038		3.2717				
Test Temp degF					95.0		95.0		Bit Information												
Rheol Temp degF					120.0		120.0		Size		12 1/4 in										
PV cP					27		31		Hours On Bit												
YP lbf/100ft^2					22		20		Bit Number												
10sec Gel lbf/100ft^2					7		7		BHA Number		10		Rheology								
10min Gel lbf/100ft^2					12		11		Depth In		2385.00 m		600 RPM		76		82				
HTHP Filtrate cc					3.8		4.0		Bit RPM				300 RPM		49		51				
HTHP Cake in/32					2.0		2.0		WOB		klbf		200 RPM		36		39				
HTHP Temp degF					250.0		250.0		Nozzles		4x16:4x12		100 RPM		25		27				
HTHP Pressure psi					500		500		Bit Hydraulics			6 RPM		8		8					
Retort Water %					24.0		25.0		TFA		1.2272 in^2		3 RPM		6		6				
Retort Base Fluid %					64.0		63.0		Nozzle Vel		ft/sec										
Retort Solids %					12.0		12.0		Bit Press Loss		psi										
Corrected Solids %					9.9		9.8		HHP / Area		HP/in^2		Hydraulic Analysis								
Oil:Water Ratio					73:27		72:28		HHP		%		Behavior Index (n)								
Alk (Whole Mud-POM) cc/cc					1.80		2.00						Consistency Index (k)						#sec^n/100ft^2		
Cl (Whole Mud-Clom) cc/cc					52000		54000						ECD @ Bit Depth						ppg		
Ca (Whole Mud-Caom) cc/cc					0		0						ECD @ Casing Shoe						ppg		
Excess Lime lb/bbl					2.3		2.6		Fluid Comments/ Recommendations												
Brine Density sg					1.23		1.23		Prepared slug. SURFACE ACTIVE VOLUME (9.3ppg) = (Act Pit #2 - 279 bbls + S/Traps - 150bb) = 429 bbls												
NaCl % wt					0		0		RESERVE VOLUME (9.3 ppg) = (Pits #1 - 12 bbls + pit #3 - 331 bbls + pit 4 - 339 bbls) = 682 bbls. TOTAL												
CaCl2 % wt					25		25		USEABLE (9.3 ppg) = (Act Pit #2 - 279 bbls + Res Pits 1,3 & 4 - 682 bbls) = 961 bbls. OTHER FLUIDS - Base												
Elect. Stab.V					468.0		442.0		Oil in Chemical pit - 56 bbls & Slug piit (12.3 ppg) - 44 bbls												
Sand %					0.40		0.40														

ADVANTAGE Daily Drilling Fluids Report - 61

INTEQ

Rpt Date 05/Jan/2007		Well Name/No Bilabri D4		Section Name/No 12-1/4" Section #3		Mud System SYN-TEQ (PARA)	
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Operator Peak Petroleum Indust. Limited		Company Rep Tom G.May / Peter Vermeulen		Contractor Dolphin Drilling Ltd		Contractor Rep Steve Milne / Terry Nanidisi	
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
Rig BULFORD DOLPHIN							

Solids Control Equipment							
Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1		0.0		0.0	0.0	
CENTRIFUGE	2		0.0		0.0	0.0	
DESANDER	1		0.0		0.0	0.0	
DESILTER	1		0.0		0.0	0.0	
MUD CLEANER	1		0.0	175, 210	0.0	0.0	
SHALE SHAKER	1		0.0		0.0	0.0	
SHALE SHAKER	1		0.0	210, 2 x 175	0.0	0.0	
SHALE SHAKER	2		0.0		0.0	0.0	
SHALE SHAKER	2		0.0	3 x 175	0.0	0.0	
SHALE SHAKER	3		0.0	3 x 175	0.0	0.0	
SHALE SHAKER	3		0.0		0.0	0.0	
Total Volume Lost					0	0	

Volumes							
Additions bbl		Losses bbl		Total Volumes bbl			
Mud Added	Weight Materials	Downhole	21	Left In Pit	Starting Volume	2667.1	Riser w/o Pipe
Brine	Water	Cased Off		Trip Losses	Daily Additions		Casing w/o Pipe
Base Fluid	Product	Left In Hole		Injected	Daily Losses	45	Open Hole w/o Pipe
Recycled	Other	Discharged		Spill To Environment	Ending Volume	2622.1	String Displacement
		SCE		Onshore Disposal	Net Change	-45.0	String Capacity
		Evaporation		Returned			Total Hole w/ Pipe
		Other Losses	24				Total Active
							Total Reserve
							782.0

IADC Hours							
Stuck Pipe				24			

Primary Currency USD		Secondary Currency		Totals USD	
Daily Product Cost	0.00	Daily Product Cost	0.00	Primary Product	1410308.38
Daily Tax	0.00	Daily Tax	0.00	Secondary Product	0.00
Debit/Credit	0.00	Debit/Credit	0.00	Primary Engineering	67106.25
Daily Engineering Cost	900.00	Daily Engineering Cost		Secondary Engineering	0.00
Total Daily Cost	900.00	Total Daily Cost	0.00	Primary Total	1477414.63
Total Inventory Value	565292.30	Total Inventory Value	0.00	Secondary Total	0.00
				Deck Load	624028 lb

Products and Services											
Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl	
Bulk											
MIL-BAR	1000 kg	109						109	134.63	106.52	
Oil Based Product											
CARBO-GEL	25 kg	288						288	5.56	6.84	
MIL-LIME	25 kg	275						275	6.07	3.14	
OMNI-COTE	55 USgal	10						10	0.30	0.16	
OMNI-MUL	55 USgal	24						24	5.81	3.89	
OMNI-PLEX	55 USgal	21						21	4.39	5.28	
OMNI-TEC	55 USgal	20						20	3.02	2.46	
PARA-TEQ	1 bbl	930						930			
Water Based Product											
CAUSTIC SODA	25 kg	32						32			
MIL-GUAR	25 kg	50						50	0.31	0.13	
SOLUFLAKE	25 kg								0.11		
Xanthan Gum	25 kg	39						39	0.53	0.22	
XCIDE 102	55 USgal	1						1	0.01		
LCM											
CALCIUM CARBONATE - FINE	25 kg	212						212	7.99	3.45	
CALCIUM CARBONATE - MED	25 kg	505						505	8.83	2.06	
KWIKSEAL - MEDIUM	25 kg								0.09		
MIL-PLUG FINE	25 kg								0.08		
Other											
BLACK MAGIC SF T	25 kg	120						120			
CALCIUM CHLORIDE (97%)	25 kg	360						360	10.74	13.37	

BHDF Fluids Rep	BHDF Rep Phone	Warehouse	Warehouse Phone	Coordinator	Daily Cost	Cumulative Cost	Inventory Value	Page 2
Waboso Peter / Kunle Olayinka	234-803-402-0440	Onne	234-84-462609	Lawson Ogaree	900.00 USD	1477414.63 USD	565292.30 USD	

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.